Report to The Portland Public Schools Board of Directors

Date: July 23, 2025

From: Bond Accountability Committee

Subject: BAC Report #48

Committee Charge

The Portland Public Schools Board of Education (Board) has appointed a citizen Bond Accountability Committee ("Committee") whose charge is to monitor the planning and progress of the bond programs relative to voter-approved work scope, schedule, and budget objectives.

The duties of the Committee are (i) to receive reports on the status and planned implementation of the bond program; (ii) to determine whether such status and implementation are consistent with the program approved by the voters; and (iii) to report their findings to the Board.

The current members of the BAC are:
Greg DiLoreto
Norman Dowty
Jessica Dunham
Chris Dunning
Travis George
Ryan Kinsella
Annie Kwon
Jonathan Truit
Cara Turano, Chair

Background:

In November 2012, voters approved a $482M capital improvement bond measure for Portland Public Schools. In May 2017, voters approved a $790M capital improvement bond measure. In November 2020, voters approved a $1.206B capital improvement bond measure.

All regular BAC meetings are publicly noticed and open to the public. Staff presentation materials and meeting minutes, along with BAC reports are regularly posted on the district website. Meetings are also video recorded, which allows BAC members unable to attend scheduled meetings to watch the proceedings and review the materials at their convenience.

The BAC meeting on July, 2025 was held in-person at Harrison Park Middle School. Five members participated in the meeting, Greg DiLoreto, Travis George, Annie Kwon, Jonathan Truit, and Cara Turano. The meeting covered four areas: Year 6 Performance Audit, Bond

Program administration update, 2017 and 2020 Modernizations, and 2025 Bond Summary. A discussion about appointing a new BAC Chairperson was postponed. There was no public comment.

Report

1. Whether the school district bond revenues are expended only for the purposes for which the bonds were approved, and that bond revenues are not used for any purpose prohibited by law;

- The BAC reviewed the Bond Program Administration report and additional reports specific to bond revenues and expenditures.
- **Based on the information provided, it appears that the school district is spending revenues only for the purposes for which the bonds are approved.**

2. Whether the bond budget is sufficient to complete the scope of work as outlined in the voter-approved bonds;

- At the July meeting the BAC reviewed the Bond Program Administration report as well as the Year 6 Performance Audit, 2017 and 2020 Modernizations, and 2025 Bond Summary. Additionally, a Modernization Cost Reduction verbal only update was given by Stormy Shanks.
- **Based on the information provided, it appears that the 2012 bond program will have sufficient funding to complete the scope of work. Current projected costs for the 2012 bond program are 99.9% spent, estimated to be $379,820 under budget. It is noted in the report that the remaining 2012 Bond Funds will be used for completion projects at Grant that respond to lessons learned.** Remaining funds will be used for compensable projects by the end of FY 25-26 so the 2012 Bond Program can be closed out.
- **Based on the information provided, it appears that the 2017 bond program will have sufficient funding to complete the scope of work. The program is 91% spent as of the July 2025 meeting.** The current forecast is indicating approximately $31.9 million under budget for the 2017 bond program, which is up from the $67M in the April 2025 report. Of that amount the Lincoln High School modernization continues to forecast under budget at approximately $16.3M currently vs $17M in the July report. Approximately $11.7M remains in contingency as of July 2025 which is being held until the Benson project team's claim with the CM/GC contractor is finalized as the budget continues to be a risk. Contingency funds may then be allocated to additional project scope.
- Specific to the 2017 Health & Safety projects, any funds not needed to complete certain H&S scope get reallocated to other H&S categories so the full $150M dedicated to H&S is utilized as such. **The BAC was apprised at the January 2025 meeting that $10 million in 2017 bond funds were committed to facilities projects that will improve thermal comfort as agreed to in contract negotiations with the Portland Teachers Association bringing the program total to $160M.**

- **Based on the information provided, the 2020 bond program is projecting sufficient funding to complete nearly all the scope of work. At this time 50% has been spent; however, Jefferson is only going to be able to be constructed because of the passage of the 2025 bond measure.** Contingency and unallocated project funds for the 2020 bond program are approximately $71M. The Jefferson Modernization CM/GC procurement is in process and both Cleveland and Ida B. Wells high schools CM/GC contracts have been executed. As of the July 2025 meeting, no funding has been spent on the CBSE (Center for Black Student Excellence) and bond funds may only be spent on capitalizable assets once assets have been defined. The delay in the Bond Measure from 2024 to 2025 caused a funding gap for Curriculum and Technology, specifically the ERP Replacement project, resulting in 2020 Contingency allocations to Curriculum ($9.9M) and Technology ($7.9M).
- A Modernization Cost Reduction update for Jefferson, Wells and Cleveland was provided by each project manager based on the February 11th Board guidance the projects are being redesigned to Ed Spec SF minimum of 295,000 SF each. **Total savings are expected to be in the range of $36M-$45M across the three projects**. Further savings are being investigated in areas such as contracting methodology, insurance and auditing of the CMGC contracts.

*3. Whether the projects planned, in progress, and completed will meet the **scope of work** specified in the voter-approved bonds; and*

- The BAC reviewed the 2017 and 2020 Modernizations, and 2025 Bond Summary project updates.
- **Based on the information provided by staff, it appears that the school district is proceeding with work that meets the intent of the scope of work specified in the voter-approved bonds.**
- Modernization projects: Jefferson, Wells, and Cleveland completed initial cost reduction strategies and are currently finalisting CM/GC contracts.
- The 2025 Bond Program projects are defined with scope and budgets within program parameters prioritizing seismic improvement projects. OSM will establish KPIs related to the seismic program with accountability and transparency provided through bimonthly reports to the SFIOC, quarterly reports to the BAC, a 2025 Seismic Improvements website, and included in the annual performance audits of the entire 2025 bond.

*4. Whether the projects are being delivered on **schedule** relative to the voter-approved bonds;*

- The BAC reviewed the 2017 and 2020 Modernizations project updates.
- Based on the information provided by staff, it appears the design projects for Jefferson, Cleveland and Wells HS are completed and within schedule parameters; however, the sequencing of three major high school modernization projects simultaneously totaling $1.5B is a very high risk scenario.

5. The Committee will receive and review copies of annual performance audit reports and financial audit reports to ensure Bond revenues are expended in compliance with state law and the ballot measure language.

- **All bond revenues appear to be in compliance with state law and the ballot measure language.**
- **In regards to the audit recommendations, understaffing in the role of business operations affects the ability to enact Year 6 Audit Recommendations.**

Additionally, the Committee may provide feedback and/or advice to the Board on one or more of the following topics:

- *Alignment with the goals and principles of the Long-Range Facilities Plan;*
- *Alignment with the goals of the Business Equity Policy;*
- *District standards and innovative practices for achieving lower maintenance and construction costs while improving operating efficiency, sustainability, and increasing building longevity;*
- *Historic preservation and school renovation opportunities compatible with the architecture of surrounding Portland neighborhoods;*
- *Potential capital partnerships for joint and shared use of PPS facilities;*
- *Implementation of appropriate ways to address seismic issues;*
- *Topics and scope for the annual performance audit work plan;*
- *Compliance with ADA; and*
- *Communicating key information related to the bonds to the School Board, public groups, organizations and stakeholders.*

- Total cumulative Business Equity is down from the previous report from 16.47 to 16.42% while the current 12 months is down from 15.75% to 14.05% which continues to trend below the 18% goal. It must be noted however; business equity utilization data represents a point in time and may not fully represent actual payments received by Certified Business.
- Cumulative Workforce Equity performance remained the same from the previous report as did minority workforce participation at 32% (the goal is 25%) and female workforce participation remained at 6% (the goal is 14%). Apprenticeship stayed at 23% (above the 20% requirement).

General Comments

In the interest of improving the effectiveness of the BAC and our ability to meet the intent of our charter we have offered recommendations to OSM staff that include:

- **The BAC would like to see a comparison for the ERP implementation to other similarly sized school districts to understand how/if the $62 million budget aligns in terms of costs.**
- The BAC would like to see the appointment of a new BAC Chairperson.

- The BAC requests if BAC relevant information is released to the public that the BAC receives notification that the documents are available.
- The Center for Black Student Excellence is at high risk of not being delivered on time or as intended. The BAC hopes that based on recent news media the work plans, schedules, and conceptual cost options for three potential locations will be determined by the end of February and there is still no update. The BAC would appreciate hearing CBSE plan updates from OSM in between meetings especially in regards to press regarding bond related initiatives.
- The BAC would like to share the opinion that the district should not be building such large high schools when there is not the student body to justify it. Given declining enrollment and decreasing birth rates this issue is even more pronounced given the project budget issues.

In conclusion, we commend PPS with what they have accomplished as the number of projects is numerous and are complex. Projects are generally coming in on time and within budget and scope with the exceptions previously noted. We continue to appreciate the quality and professionalism of OSM staff, design teams and contractors as they take on multiple issues and ongoing efforts to explore new approaches. We thank the Board for this opportunity to serve and play a small part in your bond programs.

Additional Resources:

PPS Bond Program website at https://www.pps.net/Page/117
PPS BAC page at https://www.pps.net/Page/464